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The Outlook for the US Consumer amid Rising Inflation

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Rising prices driven by disruptions to the flow of oil from the Middle East are filtering through to US consumers' wallets, according to Goldman Sachs Research.

Higher energy and food costs, combined with SNAP and Medicaid cuts, are projected to hit the lowest-income households the hardest.

Some consumer-facing companies are responding by bringing forward cost-saving plans and cheaper product alternatives.

The executives running big consumer staples companies have become slightly more cautious, but they still see signs of resilient consumer spending, and they are not raising any concerns about a recession.

Rising prices driven by disruptions to the flow of oil from the Middle East are having a measurable impact on US consumers, with low-income households facing the biggest hit, according to Goldman Sachs Research.

Since January, Goldman Sachs Research has twice revised down its expectations for 2026 growth in discretionary cash inflow (DCF)—the amount of cash the average consumer has to spend on non-essential items after meeting all financial obligations. They now forecast DCF growth of 3.7% this year, compared with an initial estimate of 5.1%. The revised DCF growth figure would mark a decline from 4% growth last year.

“The big difference between our expectations from the beginning of the year to today is of course the higher gasoline prices,” says Kate McShane, co-head of US consumer research.

Energy prices have soared since the start of the war in Iran in late February, with Brent oil, the international benchmark, trading at around \$100 per barrel this week as of May 7, up from \$61 at the end of last year.

McShane expects energy spending in the US to grow by about 14% this year, based on our commodities strategists’ forecast for Brent crude oil to average \$90 per barrel in the fourth quarter of 2026.

“Higher gasoline prices will disproportionately burden the bottom-income quintile, who spend roughly four times as much on gasoline as a share of after-tax income compared to the top quintile,” says Bonnie Herzog, co-head of US consumer research.

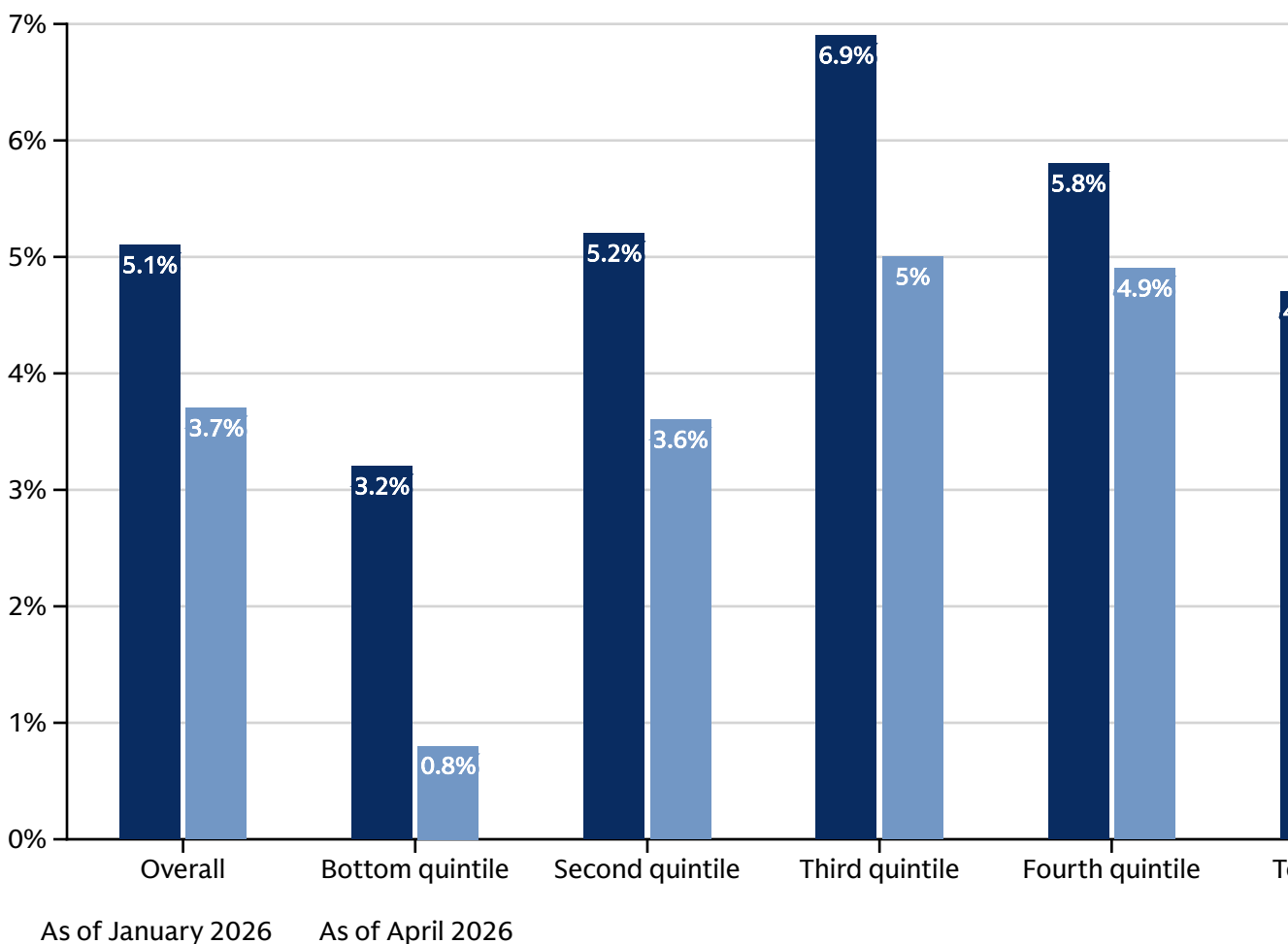
We spoke to McShane and Herzog about their outlook for the US consumer, and what higher energy prices could mean for companies, and corporate executives’ expectations for the US economy.

Who is being hit the hardest by rising prices in the US?

Bonnie Herzog: Higher energy and food costs, combined with SNAP and Medicaid cuts, are pressuring the bottom-income quintile. We are now expecting pre-savings discretionary cash inflow growth of only 0.8% for that cohort this year, well below the 3.7% aggregate growth rate for US consumers.

US consumers' disposable cash inflow is estimated to grow 3.7% in 2026

Old vs. new pre-savings disposable cash inflow estimates by income quintile, 2026



Source: Census Bureau, Goldman Sachs Research

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Data from HundredX, a company which gives a sense of consumer trends and feedback, also suggests weakening future purchase intent from that cohort in recent weeks. The weakness seems to be most pronounced among low-income and younger consumers.

When you look at some of the other income quintiles, our economists are still expecting the middle-income cohort (that's the third quintile) to see the highest DCF growth (around 6%) on the back of the One Big Beautiful Bill tax cuts.

How is rising inflation feeding into consumer spending?

Bonnie Herzog: In broad staples, which tend to be lower-priced items, we're seeing increased pressure to downtrade, and private label products are taking a little share.

We've also seen global end-market demand in a lot of household product categories slow in the last five or six quarters. I think it's a function of the consumer being more conservative in their purchases of these everyday use items and conserving more.

For example, everyone is probably washing their clothes, but maybe they're putting more clothes in each load to make their detergent go further. Those behaviors could afford them the ability to spend in other areas—whether it's experiences, travel etc.

How do higher costs impact US companies?

Kate McShane: We've been in a period of higher inflation now for around five years: The supply chain challenges coming out of the Covid-19 pandemic combined with tariffs have resulted in higher prices, and rising fuel prices are another higher input cost for products.

That's definitely going to mean higher costs for some of our companies to manage. We're already hearing from some of our retailers that they're experiencing higher fuel surcharges, which will hurt margins a little bit, or maybe they will have to pass some of that price through.

But the consumer has been relatively resilient—that's what this discretionary cash flow model has told us, and what it's still telling us, and a lot of our companies are talking about a choiceful, resilient consumer.

At the lowest end of that income cohort, though, at \$50,000 income per year and below, there's only so many ways they can stretch their dollar. I think that companies serving a true lower-income consumer, that aren't necessarily getting a benefit of trade-down from a middle-income consumer, have been tougher stocks to own in this environment.

Bonnie Herzog: In broader staples, many companies are facing greater cost pressures from the rising cost of oil and oil derivatives. These large multi-national companies have all acknowledged some form of hedging, but they've also stated that there will be some damage: They're going to face some gross margin headwinds.

They're all talking about some mitigation initiatives such as pulling forward productivity initiatives and cost-saving plans. But interestingly, in this inflationary environment, not many of the companies are talking about the ability to pass more costs on to the consumer, given how fragile and pressured the consumer is.

Are you concerned about a recession ahead?

Bonnie Herzog: Our economists are forecasting a 30% 12-month recession probability for the US.

In my conversations with the large staples companies, I'm hearing a lot about broad resilience and the bifurcation of consumers, so there's certainly a slightly more cautious outlook for the consumer. But no one has mentioned the "r-word" to me so far.

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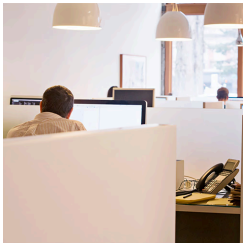
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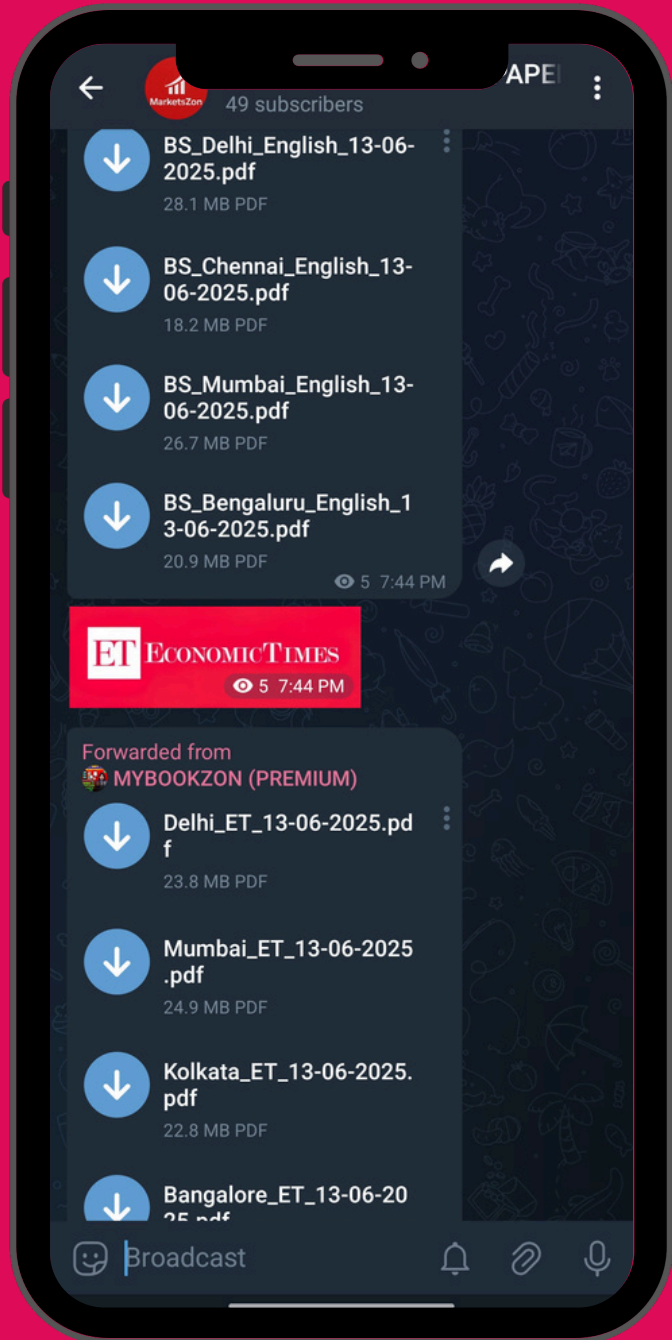
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